

**Time:** 5 minutes**Outcome:** Identify and calculate the value of the next-best alternative.**Difficulty:** ●○○ Beginner

Opportunity Cost



THE CORE IDEA

Opportunity cost is the value of the next-best alternative given up when a choice is made. Scarcity makes opportunity cost unavoidable because using time, money, or resources for one purpose prevents their use elsewhere. The cost is the single best forgone option, valued from the decision maker's perspective, and it can be monetary or nonmonetary.



HOW TO RECOGNIZE IT

- Look for a choice between two or more alternatives under a time, money, or resource constraint.
- Identify the next-best alternative that the decision maker gives up.
- Value the forgone alternative from the decision maker's perspective.
- Do not add every rejected option; opportunity cost is the single best alternative forgone.



WATCH OUT

A common mistake is to add the value of every forgone option. Opportunity cost is the value of the single next-best alternative, not the sum of all alternatives.



WORKED EXAMPLE: CHOOSING THE NEXT-BEST OPTION

A student can spend Saturday working for \$80, studying for an exam worth an estimated \$60 benefit, or attending a concert valued at \$40. If the student studies, the best forgone alternative is the \$80 work shift. The opportunity cost of studying is therefore \$80, not \$120 and not the concert's \$40 value.



CHECK YOURSELF

Why can spending an hour in a free park have an opportunity cost?

**READY?**

Return to the game and master this concept.